

		Plaintiff shall provide notice of this ruling.
6	Ghods vs. Hedayati 2026-01546241	Demurrer to Cross-Complaint Plaintiff and Cross-Defendant Mohamad R. Ghods's Demurrer to the Cross-Complaint is SUSTAINED. Lack of Standing "Every action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute." (Code Civ. Proc., § 367.) A litigant's standing to sue is a threshold issue to be determined by the court before addressing the merits. (See Boorstein v. CBS Interactive, Inc. (2013) 222 Cal.App.4th 456, 465.) The Cross-Complaint alleges that Ghods wrongfully withdrew management fees from MGPS, which is a limited liability company that owns and operates commercial real property. Ghods is the sole manager of MGPS pursuant to its Operating Agreement. (Cross-Complaint, ¶ 4.) Cross-Complainants do not allege they are members or managers of MGPS. Cross-Complainants allege that they have a right to bring the Cross-Complaint by virtue of the Family Trust being a holder of a 50% membership interest in M&G, which holds 99% of the membership interest in MGPS. Ghods withdrawals from MGPS harms their membership interest in M&G, which was a personal property belonging to the Family Trust. The issue of standing will be considered separately below. First Cause of Action – Breach of Fiduciary Duty A claim for breach of fiduciary duty must allege and prove three elements: (1) the

	existence of a fiduciary duty; (2) a breach of that duty; and (3) damages proximately caused by the breach. (See Stanley v. Richmond (1995) 35 Cal.App.4th 1070, 1086.) In a member-managed LLC, the fiduciary duties that a member owes run to the member-managed limited liability company and the other members of the limited liability company, specifically the duties of loyalty and care. (Corp. Code § 17704.09.) As stated above, Cross Complainants are not members of MGPS. Therefore, Ghods did not owe them fiduciary duties. Accordingly, the demurer to the first cause of action is SUSTAINED. Second Cause of Action – Breach of the MGPS Operating Agreement “To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff’s performance of the contract or excuse for nonperformance, (3) the defendant’s breach, and (4) the resulting damage to the plaintiff.” (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.) The Cross-Complaint alleges that Ghods breached the MGPS Operating Agreement by executing a Management Fee Agreement between himself and MGPS – signing on both sides of the transaction – then withdrew \$8,931.40 from MGPS’s bank account. (Cross-Complaint, ¶ 1) Cross-Complainants are not direct parties to the MGPS Operating Agreement but contend they are third party beneficiaries of Ghods’ obligations as manager. (Cross-Complaint, ¶ 29.) The California Supreme Court created a three-part test for third-party beneficiary status. (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817.) Under Goonewardene, a court must determine: (1) whether the third party would in fact benefit from the contract; (2) whether a motivating purpose of the contracting parties was to provide a benefit to
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	the third party; and (3) whether permitting the third party to enforce the contract is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. (Id. at 829-830.) All three elements must be satisfied to permit the third party action to go forward. (Ibid.) Cross-Complainants argue they benefit from Section 6.9 of the Operating Agreement which requires that any self-dealing transaction be conducted on arm's-length terms or approved in writing by disinterested members. Section 6.9 prevents Ghod from diverting asserts in which they hold a 49.5% effective economic interest. Moreover, permitting enforcement is consistent with the Operating Agreement's objectives because Ghods is the sole member, he would never enforce Section 6.9 against himself. "A third party who is only incidentally benefited by performance of a contract is not entitled to enforce it. The fact that he is incidentally named in the contract, or that the contract, if carried out according to its terms, would inure to his benefit, is not sufficient to entitle him to demand its fulfillment. It must appear to have been the intention of the parties to secure to him personally the benefit of its provisions." (Prouty v. Gores Technology Group (2024) 121 Cal.App.4th 1225, 1233.) Cross-Complainants have only alleged an incidental benefit from enforcement of Section 6.9. There are no allegations that Cross-Defendant or MGPS intended to benefit Cross-Complainants through the enactment of the Operating Agreement and its inclusion of Section 6.9. Accordingly, the demurer to the second cause of actions is SUSTAINED. Third Cause of Action – Conversion Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion are the plaintiff's ownership or right to possession of the
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	property at the time of the conversion; the defendant's conversion by a wrongful act or disposition of property rights; and damages. (Plummer v. Day/Eisenberg, LLP (2010) 184 Cal.App.4th 38, 45.) "[I]t is settled that one who has suffered injury both as an individual owner of a corporate entity and in an individual capacity is entitled to pursue remedies in both capacities. The line between personal and derivative claims is drawn according to the injury inflicted: "The claims are derivative where the injury alleged is one inflicted on the corporate entity or on the 'whole body of its stock.' A personal claim, in contrast, asserts a right against the corporation which the shareholder possesses as an individual apart from the corporate entity: If the injury is not incidental to an injury to the corporation, an individual cause of action exists. In determining whether an individual action as opposed to a derivative action lies, a court looks at 'the gravamen of the wrong alleged in the pleadings.'" (Holistic Supplements, LLC v. Stark (2021) 61 Cal.App.5th 530, 542 [internal citations and quotation marks omitted].) PacLink Comms. Internat., Inc. v. Super Ct. (2001) 90 Cal.App.4th 958, involved a dispute among members of an LLC wherein the minority members alleged the majority shareholders defrauded them through a series of transfers of the LLC's assets. (Id. at 961.) The court found that because the gravamen of the claim is that the LLC's assets and net worth were fraudulently transferred without compensation being paid to the LLC, this constitutes an injury to the company itself. "Because members of the LLC hold no direct ownership in the company's assets [citation], the members cannot be directly injured when the company is improperly deprived of those assets. The injury was essentially a diminution in the value of their membership interest in the LLC occasioned by the loss of the company's assets. Consequently, any injury to plaintiffs was incidental to the injury suffered by [the LLC]." (Id. at 964.)
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		Cross-Complainants allege that they have a right to bring the Cross-Complaint by virtue of the Family Trust being a holder of a 50% membership interest in M&G, which holds 99% of the membership interest in MGPS. Ghods withdrawals from MGPS harms their membership interest in M&G, which was a personal property belonging to the Family Trust. The Cross-Complaint, however, does not allege such an injury. Cross-Complainant asserts that "Ghods's withdrawal of MGPS funds to pay himself unauthorized management fees were wrongful acts of dominion over MGPS's property that interfered with Cross-Complainants' and MGPS's possessory rights." (Cross-Complaint, ¶ 38.) But Cross-Complainants do not identify what possessory rights they claim. Similar to PacLink, the gravamen of Cross-Complainants injury is an injury to the LLC itself – a diminution in value caused by the depletion of company assets. Such a claim belongs to the LLC and not Cross-Complainants. Accordingly, the demurrer to the third cause of action is SUSTAINED. Fourth Cause of Action – Violation of Unfair Competition Cross-Defendant demurs to the third cause of action for violation of the UCL on the grounds that it fails because Cross-Complainants have failed to allege standing, i.e., that he has "suffered injury in fact and lost money or property as a result of the unfair competition." "A showing of economic injury requires only that the plaintiff allege or prove 'a personal, individualized loss of money or property in any nontrivial amount.' [Citation.] Moreover, because the issue is one of standing, rather than the amount of restitution due, 'a specific measure of the amount of this loss is not required. It suffices that a plaintiff can allege
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		an “ ‘identifiable trifle’ ” [citation] of economic injury.’ [Citation.]” California Medical Assn. v. Aetna Health of California Inc. (2023) 14 Cal.5th 1075, 1088.) As stated above, Cross-Complainants have not alleged any loss of money or property. The money taken belonged to MGPS. There are no allegations that Cross-Complainants were entitled to any money or payment from MGPS. Accordingly, the demurrer to the fourth cause of action is SUSTAINED. Cross-Complainants have 15 days leave to amend. Moving Party shall give notice.
12	Ocampo vs. Nguyen 2024-01431732	Motion to Compel Production Plaintiff Efigenia Ocampo’s motion to compel defendant Jenny Nguyen to permit inspection of the defendant’s vehicle and to download the EDR is GRANTED. Defendant Nguyen shall provide a further response to plaintiff’s demand for inspection of vehicle within ten days. The inspection shall occur as follows: Date: October 2, 2026 Time: 10:00 a.m. Location: 12661 Laux Avenue, Garden Grove, CA 92840. The date, time or location of the inspection may be modified upon the written stipulation of all parties only. Sanctions are DENIED to all parties. Plaintiff to give notice.